GOAT ACADEMY

EDUCATIONAL WORKBOOK

INVESTING & PORTFOLIO STRATEGY

The Index Fund Trap

Why the S&P 500 Is Lying to You — and the 3-Step Wall Street Protocol That Changes Everything

Analyst: Winston Report published: June 2026 Classification: Educational

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About Felix Prehn and Goat Academy

Felix Prehn is a former investment banker. He gained deep insights into the strategies and principles that professional investors use to build and protect wealth.

Goat Academy

Felix Prehn is the founder of Goat Academy, an educational platform that has taught over 20,000 students the fundamentals of investing and stock market analysis. Goat Academy focuses on demystifying Wall Street's investment strategies and making them accessible to regular investors.

The academy provides comprehensive training on fundamental analysis, technical analysis, risk management, and portfolio construction—empowering individual investors to make informed decisions about their financial futures.

Tradevision.io

Felix Prehn is also the co-founder of **Tradevision.io**, a platform dedicated to providing news and data specifically tailored for retail investors. **Tradevision.io** helps individual investors access the information and tools they need to compete effectively in modern financial markets.

Mission and Dedication

Felix Prehn has dedicated his retirement to teaching regular investors how to protect their wealth and navigate the complexities of the stock market. His approach emphasises understanding the fundamental principles that drive long-term investment success, rather than chasing short-term trends or speculation.

By bridging the knowledge gap between Wall Street professionals and individual investors, Felix works to level the playing field and help people take control of their financial destinies.

Connect with Felix Prehn on YouTube

youtube.com/felixfriends

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OVERVIEW

Executive Summary

KEY FINDINGS

Wall Street tells retail investors to "buy the index" — then does something entirely different. The professionals use a system called **sector rotation**, moving billions of dollars from industry to industry like musical chairs. They have been doing this for at least 50 years. Meanwhile, most individual investors are left guessing which stock will pop next, watching CNBC, and hoping their portfolio recovers.

Our analysis of Felix Prehn's webinar reveals a straightforward, three-step framework designed to close the gap between what Wall Street *teaches* the public and what it *actually does* with its own capital. The framework centres on three core skills:

- **Read the Scoreboard** — Identify which industries institutional money is flowing into (and out of)
- **Buy the Basket** — Use index funds (ETFs) to capture an entire industry's momentum without single-stock risk
- **Master the Exit** — Use the 150-day moving average as a sell signal to protect gains and rotate capital

BOTTOM LINE: We expect that investors who adopt an industry-first approach — following institutional money flows rather than picking individual stocks — will make better-informed decisions, reduce catastrophic losses, and position themselves to compound returns more effectively over time. The greatest edge available to retail investors is not a better stock tip; it is the skill to see where the big money is moving *right now*.

SECTION 1

The $91,000 Question: Why Stock Picking Fails

Imagine it is May 2025. Two investors each put $50,000 into a big, well-known company. Wall Street analysts loved both stocks. Both investors were confident.

Twelve months later:

❌ Investor A — ServiceNow

- Starting capital: $50,000
- Ending value: $21,900
- Result: **Lost $28,100**

✅ Investor B — Google

- Starting capital: $50,000
- Ending value: $113,350
- Result: **Gained $63,350**

The gap between these two outcomes is **$91,000**. Same market. Same economy. Same 12-month window. Both were "great" companies recommended by professionals.

So what separated them? It was not the quality of the company. It was the **industry** each company belonged to.

> *"You could have owned the best company in the world — and if Wall Street doesn't like the industry, you lose money." — Felix Prehn*

It Was Not a Fluke

Over the same six-month period, the pattern repeats across dozens of well-known stocks:

LOSERS (DOWN 30–57%)	WINNERS (UP 30–200%+)
Roblox (−57%)	Micron (up significantly)
Coinbase (−41%)	Intel (up significantly)
SoFi (down 30%+)	AMD (up significantly)
Robinhood (down 30%+)	Caterpillar (up significantly)
Lululemon (down 30%+)	Target (up significantly)
PayPal (down 30%+)	Other industrial leaders
Nike (down 30%+)	—

These are not obscure penny stocks. They are names everyone has heard of. The difference? **Every loser was in a falling industry. Every winner was in a climbing industry.**

Key Insight: Most investors blame the company when they lose money. But what actually happened is the entire *industry* those companies belong to was going down. It did not matter how good a stock picker you were — the whole group was sinking and it dragged everything down with it.

Our analysis suggests this is similar to blaming your boat for sinking when the entire ocean is draining out beneath you. Conversely, when the tide rises, nearly every boat goes up with it.

SECTION 2

The Secret: Follow the Industry, Not the Stock

Most people spend their entire investing life picking companies. They research earnings reports. They watch financial news. They try to guess which stock is going to pop. And it turns out that is the hard way.

The reason? **The company matters far less than the industry the company belongs to.**

Wall Street figured this out approximately 50 years ago. They call it **sector rotation** (or industry rotation). The big money — the institutions with billions — move their capital from industry to industry in a continuous cycle, and they do it over and over again.

> **The Wall Street Secret:** They preach "buy the index" to the public, then they do something completely different. They rotate money between industries, following momentum, not loyalty to any particular company.

Why This Is Actually Simpler

What the institutions do is actually *simpler* than what most beginners try to do with stock picking. You do not need to become a stock expert. You just need to see where the money is moving.

The secret can be boiled down to one sentence:

> *"Follow the industry, not the stock. Follow the money, not your gut, not CNBC, not some stock tip on YouTube."*
> *— Felix Prehn*

What Drives the Money?

The institutions move money based on macro trends. In recent months, the industries receiving institutional capital have been driven by themes such as:

- **AI data centres** — fuelling electronic components and semiconductors
- **New factories and infrastructure** — driving construction and engineering
- **Energy investment** — powering oil services and commodities
- **Commodity demand** — lifting aluminium and metals

Meanwhile, industries like managed health care (−67%), publishing (−30%), auto parts (−22%), and fashion/shoes (−21%) saw money flowing *out*.

We expect this pattern — money rotating into growth-oriented, capital-intensive industries and away from stagnant or disrupted sectors — to continue as the dominant theme in markets.

SECTION 3 — THE 3-STEP PROTOCOL

Step 1: Read the Scoreboard

1

Read the Scoreboard

IDENTIFY WHERE INSTITUTIONAL MONEY IS FLOWING

The "scoreboard" is a snapshot of which industries are receiving big-money buying and which are being sold. Felix takes this screenshot regularly from his tools and uses it as the foundation for all investment decisions.

What the Scoreboard Showed (Recent Data)

TOP INDUSTRIES (6-MONTH GAINS)	PERFORMANCE
Electronic Components (AI, Tech)	+82%
Aluminium	+80%
Construction & Engineering	+54%

BOTTOM INDUSTRIES (6-MONTH LOSSES)	PERFORMANCE
Managed Health Care	−67%
Publishing	−30%
Auto Parts	−22%
Shoes & Fashion	−21%

> **The Buy Rule — 50-Day Moving Average:** When an industry's index fund crosses *above* its 50-day moving average line, it signals that institutional money is flowing in. This is the simple buy trigger for investors.

Examples of the Buy Rule in Action

- **SMH (Semiconductors):** Broke above the 50-day moving average, then rose approximately 170% over the following year
- **XLE (Energy):** Textbook breakout above the 50-day moving average, followed by a 37% gain
- **GLD (Gold):** Crossed properly above the 50-day moving average, then rose approximately 60%

What This Is NOT

This is **not** timing the market. Timing the market means trying to buy at the exact bottom and sell at the exact top — and nobody can do that consistently. As Felix states: "That will never happen. This is one of those Santa Claus moments."

Instead, this is about **following the institutional money trail**. The institutions move billions of dollars every day and leave big, obvious tracks. Our analysis suggests that learning to see those tracks and follow them is the core skill that separates successful investors from struggling ones.

> *"They're like mammoths. We're learning to see those tracks and to follow them. That's the whole game." — Felix Prehn*

SECTION 4 — THE 3-STEP PROTOCOL

Step 2: You Don't Have to Pick Stocks

2

Buy the Basket

USE INDEX FUNDS TO CAPTURE THE INDUSTRY'S MOMENTUM

The fear of picking the wrong stock is the number one thing that stops people from getting started. Felix's solution is elegantly simple: **don't pick one stock — buy the whole basket.**

An index fund (or ETF) is simply a basket of stocks from one industry. Instead of betting on one chip company, you buy all the chip companies with one click. If the industry goes up, your basket goes up.

The Cheat Code: You literally cannot pick the wrong company because you own them all. The fear of picking wrongly — gone. You still need to be in the right industry, but you have already learned how to find that from Step 1.

Example Industry Baskets

INDUSTRY	TICKER EXAMPLE	WHAT IT HOLDS
Semiconductors / AI Chips	SMH	Every major AI & semiconductor company
Energy (Oil & Gas)	XLE	Every major oil & gas company
Banking / Financials	XLF	Every major bank
Gold	GLD	Physical gold exposure
Insurance	KIE	Insurance industry companies
Office Real Estate (REITs)	DESC	Office building portfolios

How Felix Finds Index Funds

Felix uses a proprietary tool called the **Winston App** (named after his golden retriever) to quickly find the best index funds for any given industry. The process is straightforward:

1. Click on **"Top Rated"**

2. Select the **industry** you want (semiconductors, robotics, energy, etc.)
3. Filter by **region** (US, Europe, UK, Canada, Australia, etc.)
4. Sort by **highest rating** and **lowest fees**
5. Compare the top 2–3 funds side by side

> *"Pick the industry. The basket does the rest. You just need to see where the money is moving." — Felix Prehn*

What to Look for in a Fund

- **High rating** — the more "Winstons," the better
- **Low fees** — expense ratios eat into returns over time
- **Geographic exposure** — consider country risk (e.g., China exposure)
- **Fund size** — larger funds tend to be more liquid and stable

SECTION 5 — THE 3-STEP PROTOCOL

Step 3: The Exit Matters More Than the Entry

3

Master the Exit

THE MOST IMPORTANT SKILL MOST PEOPLE NEVER LEARN

Even if you are in the right industry, it will not stay that way forever. No industry goes up in a straight line. Money rotates — that is how Wall Street makes its money.

The number one mistake investors make: **holding a winner until it turns into a loser.**

Why "Buy and Hold Forever" Can Hurt You

Buy and hold worked when the world moved slowly. Your father could buy IBM in 1985 and retire on it. But right now, AI is reshaping industries in months. What is climbing today can start crumbling in weeks. If you are holding when the smart money is already leaving, you are the last one out the door.

The Sell Rule — 150-Day Moving Average

The easiest sell rule for investors: when your index fund or stock crosses *below* the **150-day moving average**, it is time to consider selling and rotating into whatever the smart money is buying next.

The VGT Example (IT Stocks, 2022)

The entire tech sector dropped 38% in 2022. But if you had sold at the 150-day moving average crossing, you would have gotten out at approximately **−6%** from the top — a much better outcome than riding the full −38% decline.

> **Would you rather be down 6% or down 38%?** The 150-day moving average gives you a clear, rules-based exit signal — no guessing, no hoping, no praying.

The Bitcoin Example

Since Bitcoin crossed below its 150-day moving average line, it dropped approximately 42%. The exit signal would have preserved capital that could then be deployed into the next winning industry.

Automating the Exit

Felix does not manually watch these lines. He uses the **TradeVision.io** platform to set up automated alerts: when a fund moves below the 150-day moving average, his phone receives a notification. This means he does not have to think about it or check charts every day.

> *"I do all my investment decisions on Sundays. I do absolutely nothing Monday to Friday. The market doesn't care whether you work hard. It will punish you if you're in the wrong thing and reward you if you're in the right thing." — Felix Prehn*

SECTION 6

The Hidden Cost of Holding

Many investors think, "If I just hold on, it will come back." And sometimes it does. But our analysis suggests there is a massive **opportunity cost** that most people never consider.

The Tech vs. Energy Example

IT stocks took almost **18 months** to recover from their 2022 peak. During that period, someone who held tech stocks made a **0% return**. Meanwhile, someone who followed the money into the energy sector made approximately **50%**.

❌ Held Tech Stocks (18 Months)

- $50,000 invested
- Result after 18 months: **$50,000**
- Return: 0%

✅ Rotated to Energy

- $50,000 invested
- Result after 18 months: **$75,000**
- Return: +50%

The Compounding Effect of One Better Decision

That $25,000 head start does not stay at $25,000. It grows. Assume both investors then put everything into the same index fund earning 10% per year:

YEAR	INVESTOR A ($50K START)	INVESTOR B ($75K START)	GAP
Year 0	$50,000	$75,000	**$25,000**
Year 5	$80,526	$120,789	**$40,263**
Year 10	$129,687	$194,531	**$64,844**

Same returns. Same effort. Same time. Same index fund. The only difference was **one better decision** — getting off a sinking ship and onto a rising one.

BOTTOM LINE: A better start compounds into a completely different financial future. Every single year, the gap widens. This is why being in the right industry at the right time is not just about one good year — it is about the trajectory of your entire investing life.

SECTION 7

The Heartbeat Pattern

Beyond the 50-day moving average buy rule, Felix identifies a powerful chart pattern he calls the **"Heartbeat Pattern."** This is what he looks for when selecting individual stocks within a winning industry.

What the Pattern Looks Like

A stock moves sideways in a narrow range for an extended period — like a heartbeat on a monitor, just ticking along steadily. The longer it moves sideways, the better. Felix suggests:

- **18 months sideways** — pretty good potential
- **2 to 4 years sideways** — stocks that could potentially multiply many times over

The Breakout Confirmation

When the stock finally breaks out above its previous range, we look for one critical confirmation: **a surge in volume**.

> **Volume Confirmation Rule:** At the moment of breakout, look for at least **double** the normal trading volume. Triple is better. 10 times is exceptional. A massive volume spike typically signals institutional buying — because nobody else has that much money to buy 20 times more shares than normal.

Important Nuance: Buy Above, Not At

Felix does not buy *at* the heartbeat pattern level. He buys *slightly above* the breakout point. Why? Because while a stock is moving sideways, there is no guarantee it will break upward — it could continue going sideways or break downward.

> *"We don't buy at the breakout. We buy slightly above it. That improves our probabilities of being right. And then if we see institutional money buying at the same time, we've got our confirmation." — Felix Prehn*

Real-World Examples from the Webinar

STOCK/FUND	INDUSTRY	PATTERN	RESULT AT TIME
AMN	Healthcare	18-month sideways, breakout with volume	Strong initial move higher
HPP	Office REITs	Heartbeat pattern, breakout above $12.65	Up ~21% since first buy
GL	Insurance	Extended sideways, breakout above $157–158	Gained ~8% in one week
UHAL	Transportation	Year-long decline, then sideways + breakout	Rallying with strong volume
AAR	Aerospace	Textbook sideways, broke out of range	On watchlist, showing promise

The pattern is remarkably consistent across different industries and timeframes. The same process applies whether you are looking at healthcare, insurance, gold, real estate, or transportation.

SECTION 8

Risk Management: Building a Resilient Portfolio

The Problem With Most Portfolios

Felix observes that most retail portfolios look the same: they are all tech. Nvidia, Palantir, Apple, plus an index fund that is also mostly tech. When the market sells off, everything goes down together because there is no real diversification.

Felix's Portfolio Approach

A resilient portfolio holds positions across **different industries that do not move together**: some transportation, some oil services, some biotech, some tech, perhaps some insurance or real estate. When tech tanks, the other sectors may hold up — or even rise.

Position Sizing: The Maths That Protect You

How big should each position be? Here is the maths Felix walks through:

NUMBER OF STOCKS	EACH STOCK AS % OF PORTFOLIO	IF ONE DROPS 20%	PORTFOLIO IMPACT
5 stocks	20%	−20% on one	**−4.0%**
10 stocks	10%	−20% on one	**−2.0%**
30 stocks	~3%	−20% on one	**−0.6%**

With 30 positions, a 20% drop in any single stock barely registers — it is about a 0.6% portfolio impact, which practically happens every day. This is the foundation of professional risk management.

> **Felix's Risk View:** Losses of −30%, −50%, or −70% that we see in people's portfolios are, in his view, **avoidable**. With proper risk management, losses should typically be in the 1% to 10% range. Bigger losses happen, but those positions should be proportionally smaller.

Key Risk Management Principles

1. **Set your exit at the same time you buy** — every stock gets a pre-planned stop level
2. **Diversify across industries** — not just across stocks in the same industry
3. **Size positions based on risk tolerance** — the exit determines how much capital to allocate
4. **Automate your exits** — remove emotion from the selling process
5. **Avoid overexposure to any single theme** — owning five tech stocks plus a tech index fund is not diversification

The Tax Question

Some investors hesitate to sell winners because of taxes. Felix addresses this directly: if you make an extra $1,000 and pay 30% tax, you keep $700. If you do not make better decisions because you are avoiding tax, you keep $0. The answer is clear.

We expect investors who optimise their tax structures (Roth IRA, ISA, trading GmbH, etc.) while still making good decisions will outperform those who let tax fear paralyse their decision-making.

SECTION 9

Practical Action Steps: Your Weekly Checklist

Based on everything covered in this workbook, here is a practical, step-by-step weekly process you can begin implementing. Felix does all of his investment decisions on **Sundays** — and does nothing Monday to Friday.

1 CHECK THE INDUSTRY SCOREBOARD

5–10 minutes, every Sunday

Review which industries are receiving institutional money (rising) and which are losing it (falling). Look for industries that have turned bullish recently. Remember: out of approximately 150 industries, only about 15 may be turning bullish at any given time — your odds of randomly picking the right one are 1 in 10.

2 FIND THE BEST INDEX FUND FOR THAT INDUSTRY

5 minutes per industry

Use the Winston App or similar tool to find the top-rated, lowest-fee index fund (ETF) for the industry you have identified. Compare 2–3 options. Check for geographic exposure, fund size, and fees.

3 APPLY THE BUY RULE (50-DAY MOVING AVERAGE)

Check the chart

Is the fund trading above its 50-day moving average? Has it recently crossed above it with a volume increase? If yes, this is a potential buy signal. Set a buy order slightly above the breakout point for confirmation.

4

SET YOUR EXIT — IMMEDIATELY

At the same time as your buy order

Set up an automated exit rule. For investors, the simplest sell signal is when the fund crosses below its 150-day moving average. Use **TradeVision.io** or your broker's alert system to get a notification on your phone. Never rely on hope — always have a plan.

5

REVIEW YOUR PORTFOLIO DIVERSIFICATION

Monthly check

Ensure you are not over-concentrated in a single industry or theme. Check that each position is appropriately sized. Calculate: if your worst position drops 20%, what is the total portfolio impact? If it is more than 2%, consider reducing the position.

6

ROTATE WHEN SIGNALLED

When exits trigger

When an exit alert fires, do not ignore it. Sell the position and look for the next industry where money is flowing in. The goal is to keep your capital working hard — not sitting in something that has lost its momentum.

SECTION 10

From Learning to Mastery

The Three Levels of Investing Skill

Felix describes a clear progression that every investor must travel:

LEVEL	WHAT IT COVERS	HOW YOU GET IT
Level 1: Foundation	Basic concepts, awareness, safe education	Free content on YouTube
Level 2: Application	The actual protocol and system — what this workbook covers	This webinar & workbook
Level 3: Mastery	Nuances, experience, confidence across all market conditions	Mentorship & coaching

This workbook has given you Level 2 — the application layer. You now understand the system: read the scoreboard, buy the basket, and master the exit. But as Felix is transparent about: investing is a skill, and you did not learn to drive in two hours.

The Driving Analogy

When you first got into a car, you thought: "What do I do with all these indicators? Which mirror do I look at? How many pedals are there?" Now you get in and find it relaxing. The same applies to investing — it becomes second nature with practice and guidance.

One student said it best: "I've learned more in six weeks with guidance than in three years on my own." Our analysis suggests this is because investing rules are not intuitive — nobody wakes up one morning and discovers the 150-day moving average on their own.

The Shortcut

Felix's mentor taught him: you want to be somewhere better than where you are right now. The thing in between is **skills**. And the shortcut to acquiring skills is to **find someone who is already where you want to be**.

> *"The secret to life: find someone who has figured out how to get from where you are to where you want to be. That can be us — or it can be somebody else. Just make sure they've actually worked in an investment bank or hedge fund, because they're the only people who really know what's going on." — Felix Prehn*

What the Goat Academy Programme Includes

- **One-on-one coaching** with retired investment bankers and hedge fund professionals
- **Weekly "Felix's Notes"** — market outlook, sector analysis, and watch lists
- **6 to 12 months of guided learning** through different market conditions
- **Dedicated success manager** for accountability
- **Course materials** covering buying, selling, advanced selling, risk management, and portfolio construction
- **Conditional 100% money-back guarantee** — complete the work, get results, or get your money back

The Guarantee Requirements

- Complete the weekly progress reports
- Finish all course materials
- Make 12 simulated trades using the risk management system
- Join at least 12 live coaching calls

Ready to Take the Next Step?

Your free strategy call is a no-pressure conversation to look at where you are and honestly determine whether what Goat Academy does could help you. The same kind of conversation that changed Felix's trajectory from losing investor to retired at 45.

Book Your Free Call at justoneconversation.com

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